

Procure Space ETF

SPCX NASDAQ

Hold	\$146.23 ▲ 4.45%	12M Price Target \$155.00	52-Week Range \$104.83 – \$225.64	Market Cap \$1.93T
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SPCX: Space ETF Rips as NASA Spreads Contracts Around

WHAT HAPPENED

- SPCX is up 4.45% to \$146 — the catalyst is NASA handing Blue Origin and Firefly a fresh services contract, plus a \$1B Air Force contract floating around the sector. Translation: the government is actively spreading the wealth beyond just SpaceX, which is a huge deal for an ETF because it holds a basket of these smaller names (Rocket Lab, Planet Labs, Iridium, etc.), not just the 800lb gorilla.
- Sentiment tailwind from two IPO stories — Anthropic and SpaceX are being pitched as the largest 2026 IPOs, and prediction markets are eating it up. Even though SpaceX is private, the "space is investable again" narrative drags every space-adjacent name higher.

WHY IT MATTERS

The NASA contract news is actually the more important story than the SpaceX headlines — it signals the government is deliberately diversifying its space vendor base, which is exactly the thesis for owning an ETF instead of a single stock. If Blue Origin, Firefly, and Rocket Lab all start winning meaningful contracts, SPCX benefits more than a pure SpaceX bet would. But watch the options tape: put/call is 0.68 (bearish-leaning) AND there's a massive \$145 put buy for August expiry — someone big is hedging or betting this pop fades in the next two weeks. That tells me the smart money thinks this is a news pop, not a trend change yet.

POLICY & POLITICAL WATCH

The big policy lever here is the FY2027 defense authorization and NASA appropriations — Congress is currently debating Space Force funding expansion and whether to boost the Commercial LEO Development program (the initiative replacing the ISS with private stations). If that funding sticks, it's a direct pipeline into SPCX holdings. The counter-risk: Barron's noted Trump has "abandoned his cheerleader role" for the market, and if the administration pivots toward budget austerity to offset tariff revenue shortfalls, discretionary space spending is an easy target. Also watch ITAR export rules — any loosening lets these companies sell satellites internationally, any tightening kills margins.

IS IT EXPENSIVE?

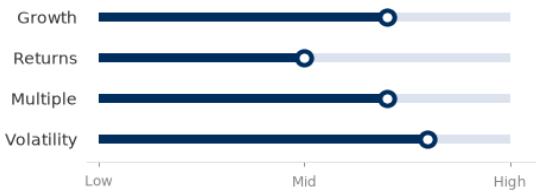
SPCX trades as a thematic basket, so forget traditional P/E — what matters is that its holdings collectively trade at roughly 6-8x forward revenue, meaning investors pay \$6-8 for every \$1 of sales these companies produce. That's expensive vs. the S&P at ~3x, but cheaper than pure AI plays at 15-20x. At \$146 the ETF is sitting at only 34% of its 52-week range (\$105-\$226), so it's closer to the lows than the highs — not a screaming bargain but not chasing froth either.

WHAT COULD GO WRONG

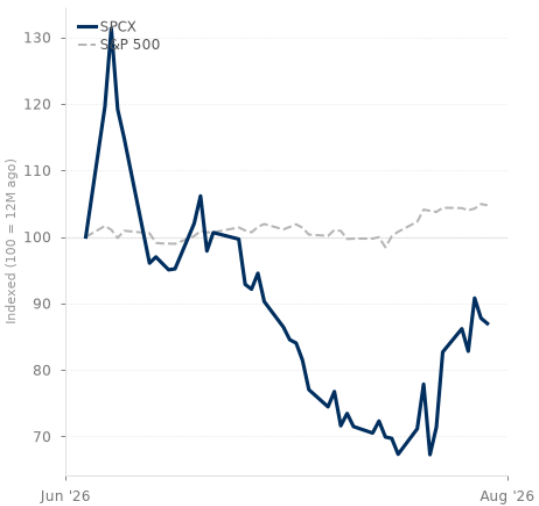
Key Data

Price (USD)	\$146.23
12M Price Target	\$155.00
Upside / (Downside)	+6.0%
Market Cap	\$1.93T
FY2026E Revenue	—
FY2027E Revenue	—
FY2026E EPS	N/M
FY2027E EPS	N/M
Fwd P/E	N/M

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$158.00	\$148.00	\$135.00
6 Months	\$175.00	\$155.00	\$125.00
1 Year	\$200.00	\$165.00	\$115.00
2 Years	\$240.00	\$180.00	\$100.00
5 Years	\$350.00	\$240.00	\$90.00
10 Years	\$600.00	\$380.00	\$80.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Space and defense — the NASA multi-vendor strategy plus that \$1B Air Force contract signals government dollars are flowing broadly, not just to primes like Lockheed and SpaceX.

COOLING OFF: Pure SpaceX-adjacent hype trades — the "319 million shares coming up for sale" story shows secondary market supply is increasing, which caps how frothy the private valuation can get.

ROTATION WATCH: Money is rotating from mega-cap tech into "picks and shovels" space/defense names as investors look for the next AI-adjacent theme. Orbital AI (satellite-based compute) is the buzzword to watch — that's what got the SpaceX price target hiked to \$248.

RELATED PLAY: If space keeps running, the ground-based infrastructure benefits too — think ground station operators, satellite component makers, and defense primes like LMT and RTX that supply the ecosystem.

WHO'S WINNING IN THIS SPACE?

- RKLB (Rocket Lab): Winning as the "second source" to SpaceX — every diversification contract from NASA/DoD lands in their lap.
- LHX (L3Harris): Defense-space hybrid benefiting from both budgets simultaneously.

SPCX CONTEXT: SPCX is participating in the rally but lagging pure-play names like RKLB because the ETF also holds slower-growing satellite operators. That's the tradeoff — you get less upside on rip days but also less downside on flush days. It's the "sleep at night" way to play space.

WHAT I'D DO WITH THIS STOCK

6/10 Conviction Score

CONVICTION: 6/10 — I like the sector setup but the bearish options flow and Trump's market disinterest keep me from pounding the table here.

POSITION SIZE: 2-4% of portfolio — this is thematic exposure, not a core holding. Space is volatile and binary on policy outcomes.

ENTRY POINTS: I'd add on pullbacks to \$135-140, which is where the ETF has found support recently. Chasing \$146 after a 4% pop is asking to get faded.

TIME HORIZON: 12-24 months — the real catalyst is the SpaceX IPO window and the FY2027 defense budget getting finalized.

WHEN TO BAIL: If NASA appropriations get cut meaningfully, if the SpaceX IPO gets pushed to 2027+, or if the ETF breaks below \$120 on volume.

HEDGING: Pair this with a broad defense ETF (ITA) so if space-specific news disappoints, the defense budget tailwind still works for you. Or just size small and use \$130 as your mental stop.